

the Iraqi Swiss dinar had no official backing – but it was accepted as money. There was no tangible value, yet it had value. Importantly, value can be derived from both tangible and intangible sources.

The features of Bitcoin that we have mentioned – particularly scarcity and self-sovereignty – make it a potential store of value and possible hedge to political and economic unrest at the hands of global governments. As the network grows, the value proposition only increases due to increased trust and liquidity. Although Bitcoin was originally intended as a peer-to-peer currency, its deflationary characteristics and flat fees discourage its use in small transactions. We argue that Bitcoin is the flagship of a new asset class, namely, cryptocurrencies, which can have varied use cases based on the construction of their networks. Bitcoin itself, we believe, will continue to grow as an important store of value and a potential inflation hedge over long horizons.¹¹

The original cryptocurrencies offered an alternative to a financial system that had been dominated by governments and centralized institutions such as central banks. They arose largely from a desire to replace inefficient, siloed financial systems with immutable, borderless, open-source algorithms. These new currencies can adjust their parameters such as inflation and mechanism for consensus via their underlying blockchain to create different value propositions. We will discuss blockchain and cryptocurrency in greater depth later on but for now will focus on a particular cryptocurrency with special relevance to DeFi.